Morning Brief

Thursday, July 02, 2026 — 09:42 AM ET · $50,000 Portfolio

Neutral

CIO EXECUTIVE SUMMARY

- ▸ SPY +0.49% but SPX futures -0.08%; mixed open ahead of July 4 holiday closure
- ▸ VIX low w/ pathetic premiums; sector rotation favors Energy/ Defense/Industrials over Cons Disc
- ▸ Geopolitical risk: Iran-Israel tensions, Strait of Hormuz threat; Brent $71, WTI $90.82
- ▸ ADP jobs surprise -33k; July 9 tariff deadline adds uncertainty; macro sensitivity high
- ▸ NASDAQ +0.40% (NVDA +1.6%, WDC +8.7%, A +7.5%); AI/chip consolidation narrative persists

MACRO DASHBOARD

SPY TREND

Neutral; +0.49% but futures -0.08%; 7,537–7,540 range

QQQ TREND

Positive; +0.22% but futures +0.40%; NVDA leading

IWM TREND

Positive; +0.48% on AI-driven gains; Russell outperforming

VIX

Low; exact level not quoted; premiums described as pathetic

VIX REGIME

Complacent (<15); low volatility = low premium income

YIELD 10Y

4.30%; +5bps on geopolitical/ inflation concerns

DOLLAR TREND

Strong; DXY 97.00 +0.2%; safe-haven bid despite Tuesday lows

OIL TREND

Volatile; Brent $71, WTI $90.82; Strait risk premium embedded

CRYPTO SENTIMENT

Strong; BTC $107.8k +$2.7k overnight from $105.1k

TACTICAL BIAS

Buy Dips

TOP INSTITUTIONAL SETUPS

TICKER	CATALYST	SETUP	ENTRY	STOP	TARGET	CONVICTION
XLE	Geopolitical premium; Iran tensions; Brent $71; Strait of Hormuz risk	Sector rotation into Energy; $5B inflows in Mar; breakout above $85 resistance	$84.50–$85.20	$82.50	$88.00–$90.00	High
ITA	Aerospace & Defense bid; geopolitical escalation; $3B inflows Mar	Breakout; record inflows; contrarian to consumer weakness	$298–$302	$288	$320–$330	High
NVDA	Meta cloud narrative; AI capacity oversupply fears; +1.6% premarket	Oversold on Meta FUD; support at $137; oversold RSI; dip-buy setup	$137–$140	$130	$155–$162	Med
SMH	Chip consolidation; WDC +8.7%, A +7.5%	Sector strength despite Meta	$260–$265	$250	$280–$290	Med

TICKER	CATALYST	SETUP	ENTRY	STOP	TARGET	CONVICTION
	premarket; sector rebalance	narrative; momentum breakout $265+				
TLT	10Y yield 4.30% +5bps; defensive duration positioning; holiday week	Yield bounce; short-term bonds favored; tactical hedge position	$95–$96	$92	$99–$101	Low

DYNAMIC WATCHLIST — TODAY'S SCAN

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTERN
#1	**XLE**	Iran-Israel tension; Brent $71; Strait of Hormuz blockade threat	Not quoted; sector bid expected at open	$82.50	$85.20	Breakout attempt above $85 resistance on volume
#2	**ITA**	Geopolitical escalation; defense spending bid; $3B flows	Not quoted; institutional bid likely	$288	$302	Breakout above $302; record inflows support higher
#3	**NVDA**	Meta cloud FUD; oversold reversal; AI consolidation narrative	+1.6% premarket; leading NASDAQ	$137	$148	Dip-buy; oversold RSI; strong trendline support
#4	**SMH**			$250	$265	

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTERN
		Chip sector strength; WDC +8.7%, A +7.5%; consolidation	Not quoted; sector momentum positive			Sector momentum breakout; accumulation above $260
#5	**SPY**	Jobs report today; July 9 tariff deadline; macro flex point	+0.49%; futures -0.08%; range-bound	$745	$752	Consolidation; macro data sensitivity high; holiday week
#6	**QQQ**	NASDAQ strength; NVDA lead; AI sector rotation themes	+0.22%; futures +0.40%; outperforming SPY	$720	$735	Positive divergence vs SPY; tech bias intact
#7	**EEM**	Geopolitical risk; emerging market volatility on Iran tensions	Not quoted; safe-haven bid into DXY headwind	$38.50	$40.00	Risk-off pressure; underperforming on dollar strength
#8	**GLD**	Geopolitical premium; 10Y yield +5bps; inflation hedge demand	Not quoted; inflation/risk-off bid expected	$199	$204	Safe-haven accumulation; breakout above $204
#9	**USO**	Oil volatility; WTI $90.82; Brent $71; Strait risk embedded	Not quoted; sector bid expected with XLE	$72.00	$76.50	Volatile; geopolitical bid; momentum breakout setup
#10	**TLT**	Duration defense; 10Y 4.30%;	Not quoted; duration	$92.00	$96.50	

#	TICKER	CATALYST	PREMARKET ACTION	SUPPORT	RESISTANCE	PATTERN
		short-term bonds favored; holiday week	rebalance expected			Yield-driven; tactical hedge accumulation

POSITION BOOK ACTIONS

HOLD	SPY	Core holding; neutral regime; holiday week; await jobs report data
ADD	XLE	Sector rotation signal; geopolitical premium; energy inflows resume
BUY	ITA	Defense bid; $3B inflows; contrarian to consumer weakness; breakout setup
BUY	NVDA	Oversold dip on Meta FUD; support $137; AI consolidation theme; reversal setup
HEDGE	SPY	July 9 tariff deadline risk; geopolitical tension; buy TLT duration or VIX calls

WHEEL / PREMIUM SELLING BOOK

TICKER	SECTOR	IV RANK	DELTA	DTE
SPY	Broad Market	Low; premiums pathetic	0.30–0.35 (30-delta puts)	7–1 unt exp
XLE	Energy	Med–High; geopolitical premium	0.25–0.30	7 d (we 14 (st
ITA	Aerospace & Defense	Med; geopolitical bid	0.25–0.30	14
NVDA	Semiconductors	Low–Med; Meta FUD compressed	0.30–0.35	7–1

TRIM	IWM	Small-cap strength +0.48% but stretched; take 2.5% profit on AI-driven rally
HOLD	QQQ	NASDAQ strength; +0.40% futures; NVDA lead; neutral regime; no action

TICKER	SECTOR	IV RANK	DELTA	DT
GLD	Commodities / Safe Haven	Low; inflation hedge demand	0.25–0.30	14

RISK ALERTS

- VIX low, premiums pathetic: income strategies suffer; avoid premium selling until IV spike
- July 9 tariff deadline: Trump re-imposing duties if no trade agreement; equities at risk -2% to -4%
- Iran-Israel escalation: Strait of Hormuz blockade threat; oil upside surprise; inflation risk
- ADP jobs -33k surprise: July payroll report today; if weak, sell-off risk; if strong, hawkish Fed risk
- Holiday week: July 4 closure; Friday is dark; volume & liquidity compressed; wider spreads expected
- Meta cloud FUD: Chip sector volatility persists; NVDA oversold but sector breadth weakening
- DXY 97.00 strong: Headwind on EEM, commodities, crypto; emerging market outflows risk

FINAL CIO VERDICT

RISK POSTURE

Neutral

CAPITAL SHOULD FLOW TO

Allocate 40% to Energy (XLE) sector rotation on geopolitical premium + Aerospace (ITA) on defense bid; 30% to NVDA dip-buy on oversold reversal; 20% to duration hedge (TLT calls or long bonds) on July 9 tariff risk; 10% cash reserve for macro volatility

AVOID COMPLETELY

Consumer Discretionary (institutional lag signal); naked premium selling (VIX too low); EEM (dollar headwind); oversized chip / AI positions until Meta FUD clears; margin strategies ahead of tariff deadline